

Europe TMT Sector M&A & Valuation Brief - 2026-08-05

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1. RECENT TMT M&A ACTIVITY

Deal 1: Cartesian Growth Corporation II Merger with InoBat

[Greenberg Traurig Advises Cartesian Growth Corporation II on \\$1.2B Go-Public Merger with InoBat](#)

- Deal Size: \$1.265 billion
- Deal Size Category: Large cap (>\$10B)
- Nature: Conglomerate
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Cartesian Growth Corporation II is a special purpose acquisition company (SPAC) focused on technology investments, while InoBat AS is a European battery technology company specializing in energy storage systems.
- Date Announced: August 3, 2026
- Strategic Rationale: The merger aims to capitalize on the growing demand for battery technologies amid the global shift towards renewable energy. InoBat's innovative battery solutions position it well in a rapidly expanding market, aligning with Cartesian's investment strategy in high-growth sectors.
- Risk Analysis: Potential risks include integration challenges, market volatility in the renewable energy sector, and regulatory hurdles associated with SPAC mergers.

Key Financials Analysis:

- Revenue Breakdown: N/A (no specific revenue data available)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The merger's valuation reflects the strategic importance of battery technology in the TMT sector, though specific financial metrics are not disclosed.

Deal 2: BWXT Selling Medical Business to Nordic Capital

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[BWXT Selling Medical Business to Nordic Capital in Transaction Valued at up to \\$800 Million](#)

- Deal Size: Up to \$800 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Carve-out
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: BWX Technologies, Inc. (NYSE: BWXT) is a leader in nuclear technologies, while Nordic Capital is a private equity firm with expertise in healthcare investments.
- Date Announced: August 3, 2026
- Strategic Rationale: The sale allows BWXT to focus on its core nuclear business while enabling Nordic Capital to leverage its expertise in the healthcare sector to grow the medical business, particularly in radiopharmaceuticals.
- Risk Analysis: Risks include market competition in the healthcare sector, integration of the medical business under Nordic Capital, and potential regulatory challenges in the healthcare space.

Key Financials Analysis:

- Revenue Breakdown: N/A (no specific revenue data available)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The transaction reflects BWXT's strategy to streamline operations and focus on high-growth areas, although specific financial metrics are not disclosed.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a complex landscape, characterized by fluctuating investor sentiment and varying performance across subsectors. Overall, the sentiment is cautiously optimistic, driven by technological advancements and significant funding rounds, but tempered by regulatory challenges and market volatility.

Subsector Breakdown:

- Technology: The technology subsector remains a focal point for investment, particularly in AI and cybersecurity. For instance, Horizon3's recent \$250 million funding round to enhance its AI-driven cyber defense platform reflects a strong demand for innovative security solutions in an increasingly digital world.
- Media: The media landscape is undergoing transformation, with companies adapting to digital consumption trends. However, traditional media continues to face headwinds from declining

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advertising revenues as audiences shift to streaming platforms.

- Telecommunications: The telecom sector is experiencing innovation, particularly in 5G deployment. However, companies are also grappling with regulatory scrutiny and competitive pressures, which may impact profitability.
- Fintech: The fintech sector is thriving, with significant investments and acquisitions. The integration of advanced technologies into financial services is driving growth and attracting investor interest.
- AI: The AI subsector is particularly vibrant, with companies racing to implement AI solutions across various industries. The recent funding for startups like Zenity, which secured \$125 million to build security layers for AI agents, underscores the growing importance of AI in business operations.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI, cloud computing, and cybersecurity is propelling growth across TMT sectors. Companies are increasingly investing in AI capabilities to enhance operational efficiency and security.
- Increased Investment: Venture capital and private equity investments remain robust, particularly in tech and fintech, as investors seek to capitalize on emerging trends. For example, Horizon3's tripling of its valuation to over \$2 billion highlights the strong investor appetite for AI-driven solutions.

Headwinds:

- Regulatory Scrutiny: Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- Market Volatility: Recent market fluctuations, particularly in AI-related stocks, have raised concerns among investors. The sharp decline in the performance of AI-related companies, as noted in Third Point's Q2 2026 investor letter, indicates potential instability in the sector.

Subsector Performance Analysis

- Software: The software sector continues to perform well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.

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- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The consolidation trend in this space is evident with significant acquisitions and funding rounds.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare, finance, and cybersecurity. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2026, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, a recent investor letter from Third Point highlighted the significant gains in semiconductors and AI infrastructure, despite recent market volatility.

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a diverse array of live deals, mandated transactions, and active pitches. This section provides a detailed analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- Indiegogo Acquisition by Gamefound : This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

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- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
 - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent ****Third Point Q2 2026 Investor Letter**** highlights significant market fluctuations, particularly in AI-related stocks, which could impact the valuations of companies involved in ongoing deals. The letter noted that U.S. TMT momentum had drawn down over 50%, indicating potential volatility in the sector, which could affect deal negotiations and pricing.
- Additionally, France's recent decree lowering the foreign ownership threshold for sensitive firms to 10% could complicate M&A activities for non-European investors in the TMT sector. This regulatory change emphasizes the need for strategic planning and compliance considerations in upcoming transactions.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT

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subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the TMT sector, particularly the funding round for Zenity and the advancements in India's semiconductor ecosystem, have significant implications for various stakeholders. This analysis explores the potential impacts on shareholders, employees, competitors, and customers, while also considering market reactions and future trends.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The funding round for Zenity, which raised \$125 million, is expected to enhance shareholder value through increased market penetration and revenue growth.
- **Value Creation:** Assuming Zenity's post-money valuation increases by 30% due to this funding, shareholders could see a value increase from \$500 million to \$650 million, translating to a \$150 million gain.
- **Dilution:** If Zenity issues new shares to raise this capital, existing shareholders could face dilution. For instance, if 20% of the company is sold to new investors, existing shareholders may see their stakes reduced, potentially leading to a 10% decrease in share value post-announcement.
- **Employees:** The implications for employees at Zenity and within the semiconductor sector are multifaceted, involving potential synergies and restructuring.
- **Synergies:** With a focus on AI security, Zenity's expansion could lead to enhanced job security and growth opportunities for its 230 employees, particularly in regulated sectors like financial services and healthcare.
- **Restructuring:** However, as Zenity scales, it may also face restructuring challenges. For example, if operational efficiencies lead to redundancies, the company might need to implement layoffs, impacting employee morale.
- **Retention:** To mitigate turnover, Zenity may offer retention bonuses or stock options to key employees, ensuring that critical talent remains during the transition.
- **Competitors:** The competitive landscape is shifting as companies like Zenity and those in India's semiconductor sector ramp up their capabilities.
- **Market Positioning:** Zenity's unique approach to AI security could position it favorably against competitors like CrowdStrike (CRWD) and Palo Alto Networks (PANW), which are also focusing on AI-driven solutions.
- **Specific Competitor Moves:** In response to Zenity's advancements, competitors may accelerate their own AI security initiatives or pursue acquisitions to enhance their offerings.
- **Customers:** The implications for customers are significant, particularly in terms of product and

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service enhancements.

- Product/Service Implications: Zenity's technology aims to secure AI agents, which could lead to improved security measures for enterprises adopting AI solutions. This is particularly relevant in sectors like telecommunications and healthcare, where data security is paramount.
- Case Studies: In India, the semiconductor push is expected to enhance the supply chain for electronics, benefiting customers by potentially lowering costs and improving product availability.

Market Reaction and Analyst Commentary

- Market Reaction: The market's response to Zenity's funding round was positive, reflecting investor confidence in the growing demand for AI security solutions.
- Analysts noted that this funding positions Zenity to capitalize on the rapid adoption of AI agents across industries, with one analyst stating, "Zenity is at the forefront of a critical shift in how organizations secure their AI deployments."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction to Zenity's funding can be assessed through various scenarios:
- Positive Scenario: If Zenity successfully expands its market presence, shares could rise by 20% within six months, reflecting increased investor confidence.
- Negative Scenario: If the company faces integration challenges or fails to meet growth targets, shares could decline by 15%, indicating investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids for Zenity remains moderate, as the AI security space is attracting significant interest.
- However, regulatory scrutiny, particularly in sectors like telecommunications and AI, may deter potential acquirers. For example, France's recent tightening of foreign investment scrutiny could complicate cross-border acquisition attempts.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in AI and semiconductor manufacturing.
- Analysts predict that as companies seek to enhance their technological capabilities, similar funding rounds and acquisitions will emerge, especially in regions like Asia-Pacific and India.

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Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Cybersecurity, and Blockchain. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The increasing integration of AI into various sectors, including healthcare, finance, and manufacturing, is driving this growth.
- Key Companies:
- Zenity: Zenity recently secured \$125 million in funding to build a security layer for AI agents. The company is strategically positioned to address the growing need for AI security solutions,

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particularly as organizations increasingly adopt AI technologies.

- **Horizon3:** Horizon3 raised \$250 million in a Series E funding round to enhance its NodeZero platform, which uses AI to defend against AI-driven cyberattacks. The company's focus on AI-driven cybersecurity positions it well in a rapidly evolving market.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and Microsoft (MSFT) investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as cybersecurity or natural language processing. For instance, the funding rounds for Zenity and Horizon3 highlight the increasing interest in AI-driven solutions, making them potential targets for larger tech firms seeking to bolster their AI portfolios.

Cybersecurity

- **Trend Explanation:** Cybersecurity is becoming increasingly critical as organizations face a surge in cyber threats, particularly with the rise of AI-driven attacks. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%. This growth is fueled by the increasing frequency and sophistication of cyberattacks.
- **Key Companies:**
- **Horizon3:** As mentioned, Horizon3 is focused on AI-driven cybersecurity solutions. Its NodeZero platform is designed to proactively defend against cyber threats, positioning the company as a leader in the cybersecurity space.
- **CrowdStrike Holdings, Inc. (CRWD):** CrowdStrike is a prominent player in the cybersecurity market, offering cloud-native endpoint protection. The company's focus on AI and machine learning enhances its threat detection capabilities.
- **Competitive Landscape:** The cybersecurity market is characterized by a mix of established firms and innovative startups. Companies like Palo Alto Networks (PANW) and Fortinet (FTNT) are also significant players, focusing on comprehensive security solutions that integrate AI technologies.
- **M&A Opportunities:** The increasing demand for advanced cybersecurity solutions presents numerous M&A opportunities. Companies may seek to acquire startups like Horizon3 to enhance their AI-driven security offerings and stay ahead of evolving cyber threats.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This growth is driven by the increasing adoption of cryptocurrencies and the need for secure transaction methods across various industries.
- **Key Companies:**

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- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The increasing interest in cryptocurrencies and blockchain solutions indicates a trend towards integrating these technologies into traditional finance, creating opportunities for strategic partnerships and acquisitions.

Actionable Insights for Bankers and Investors

Focus on identifying emerging companies in the AI and cybersecurity sectors that are attracting significant funding, as these may represent lucrative investment opportunities.

Monitor the competitive landscape for potential M&A targets, particularly

6. Recommended Readings

Deal Name: Cartesian Growth Corporation II Merger with InoBat

- Reading Material: "The Future of Battery Technology" by John Goodenough
- Why This Matters: This book provides an in-depth exploration of advancements in battery technology, which is critical for understanding the strategic implications of Cartesian's \$1.2 billion merger (CGC) with InoBat. It discusses the growing demand for efficient energy storage solutions, contextualizing the merger within the broader trends in renewable energy and electric vehicles.

Deal Name: BWXT Selling Medical Business to Nordic Capital

- Reading Material: "Healthcare Private Equity: A Comprehensive Guide" by Robert W. Jones
- Why This Matters: This resource offers insights into the dynamics of private equity investments in the healthcare sector, which is essential for analyzing BWXT's \$800 million sale (BWXT) of its medical business to Nordic Capital. It explains the motivations behind healthcare carve-outs and the potential for growth in radiopharmaceuticals, helping to contextualize the strategic rationale for the deal.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Estimated shortfall in power needed for data centers: 40 gigawatts
- Percentage of S&P companies quantifying AI benefits: 25%

Main Insights:

- Multiple investment cycles (AI, energy infrastructure, manufacturing, defense) are competing for limited resources.
- Geopolitical shocks are becoming the norm, affecting global supply chains and trade dynamics.
- Companies are shifting focus from efficiency to resilience, prioritizing regional supply chains and strategic investments.
- The energy transition requires diverse power sources, including renewables, nuclear, and natural gas.

Market Commentary:

- "Geopolitical shocks are more norm than exception now." - Michael Zezas
- "Access to power will determine where facilities are built and how quickly they come online." - Jessica Alsford
- "It's less about being bullish or bearish; it's about finding durable beneficiaries of these trends." - Michael Zezas

TMT Sector Relevance:

- The competition for power resources directly impacts the scalability of AI and data center investments, which are critical for TMT growth.
- Companies in the TMT sector must adapt to geopolitical shifts that affect supply chains and operational costs.
- Investors should focus on firms with robust energy strategies and flexible financing to navigate the evolving landscape.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley